

“Lands of Opportunity: Differences in The Geography of Income and Wealth Mobility in the United States” by Binder, Risch, and Voorheis

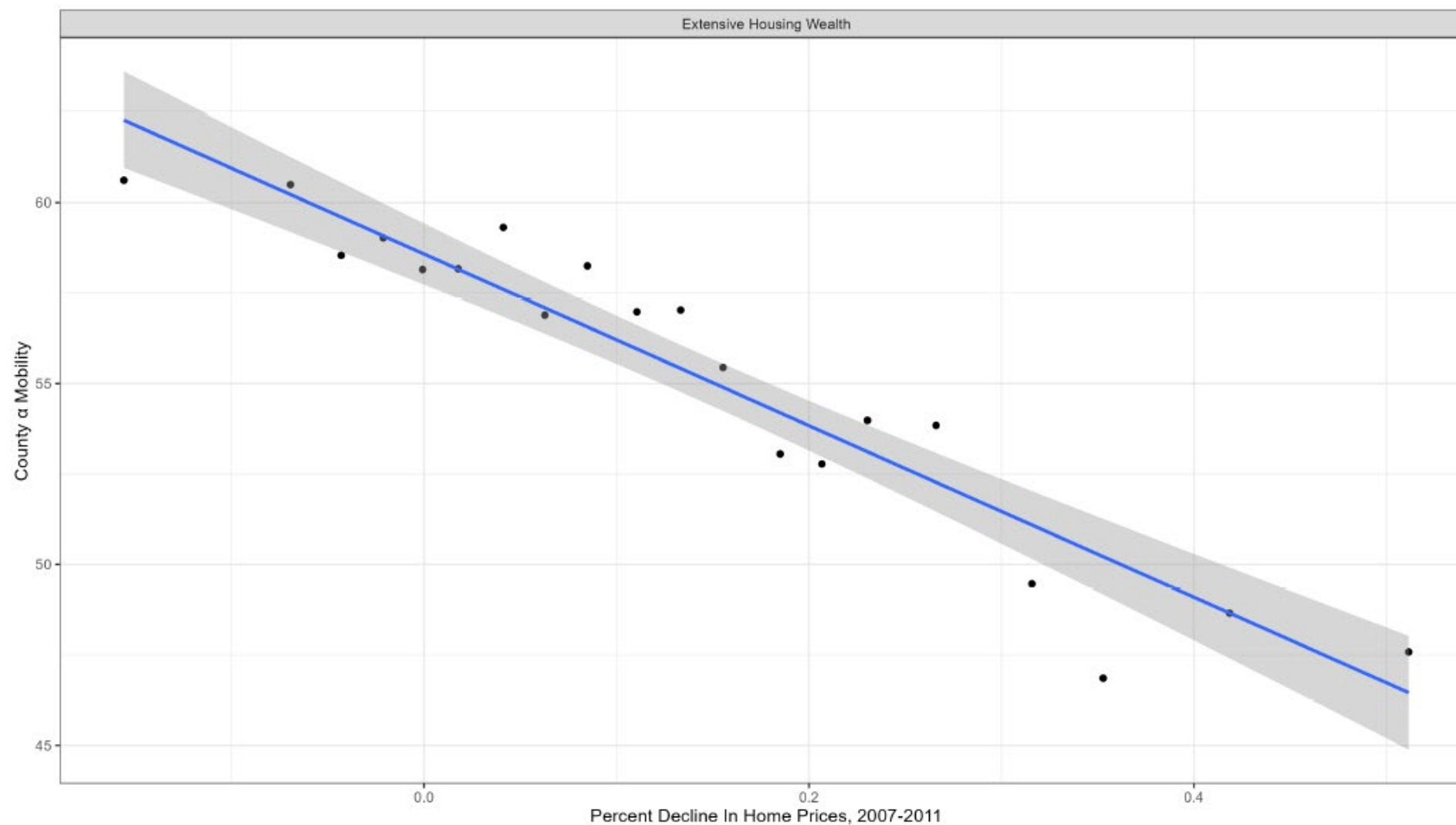
Discussed by Eirik Eylands Brandsaas (Fed Board)

The views expressed are those of the authors and do not necessarily reflect the positions of the Federal Reserve Board of the Governors or the Federal Reserve System.

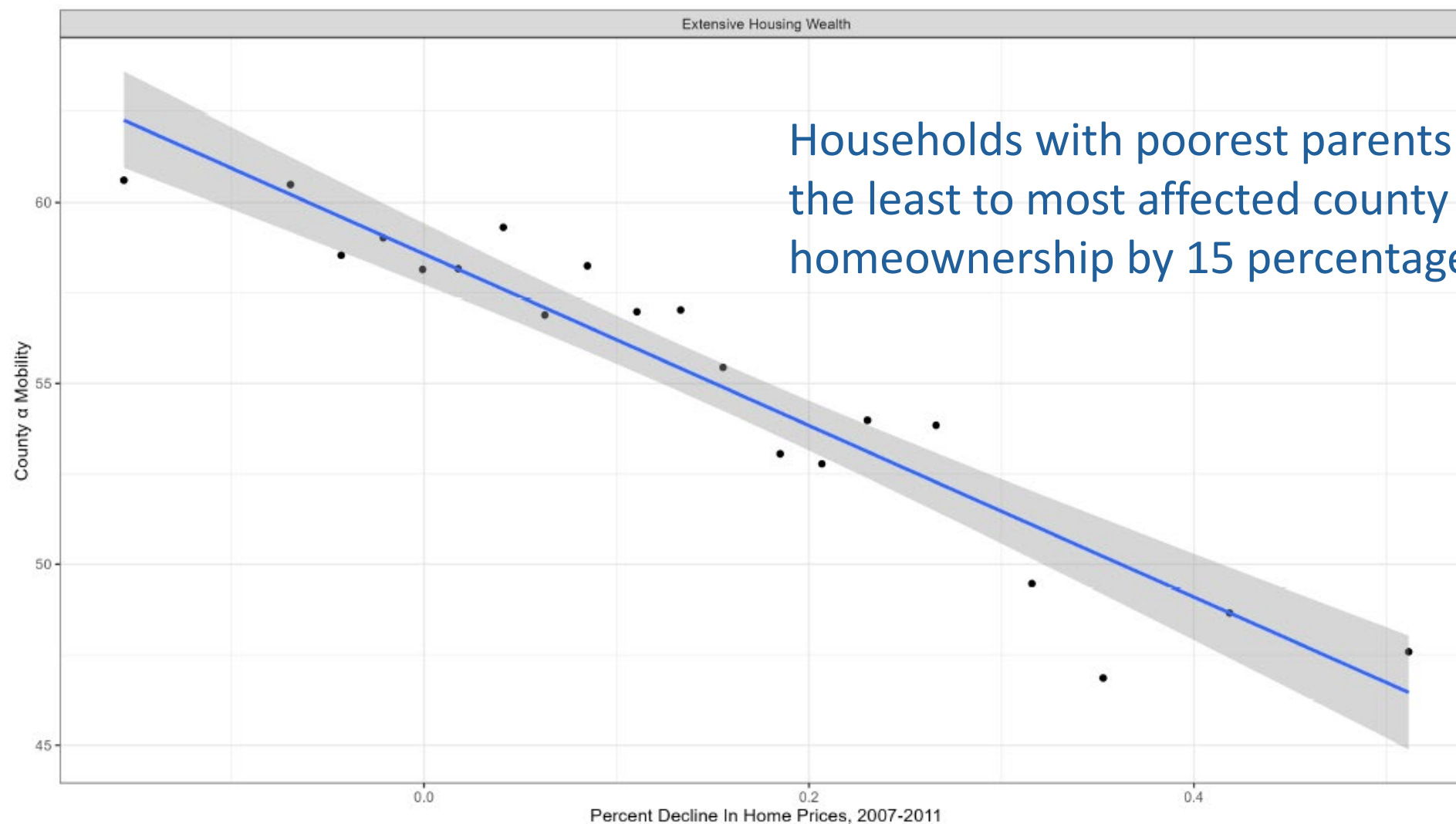
Summary

- Where in the United States do children from poor families grow up to accumulate wealth and income, and are geographic patterns different?
- Data: 3.4 million parent-child pairs from Census and administrative records
=> county-level estimates of wealth mobility
- Results
 - Geographic patterns of wealth mobility differ from income mobility patterns
 - Coastal cities show stronger wealth mobility than income mobility
 - 2008 Housing crash: hurt children of poor homeowners and helped children of renters
- This is a nice paper that makes important contributions.

Negative House Price Shocks Lower Mobility (α)



Negative House Price Shocks Lower Mobility (α)



Households with poorest parents: Moving from the least to most affected county lowers homeownership by 15 percentage points!

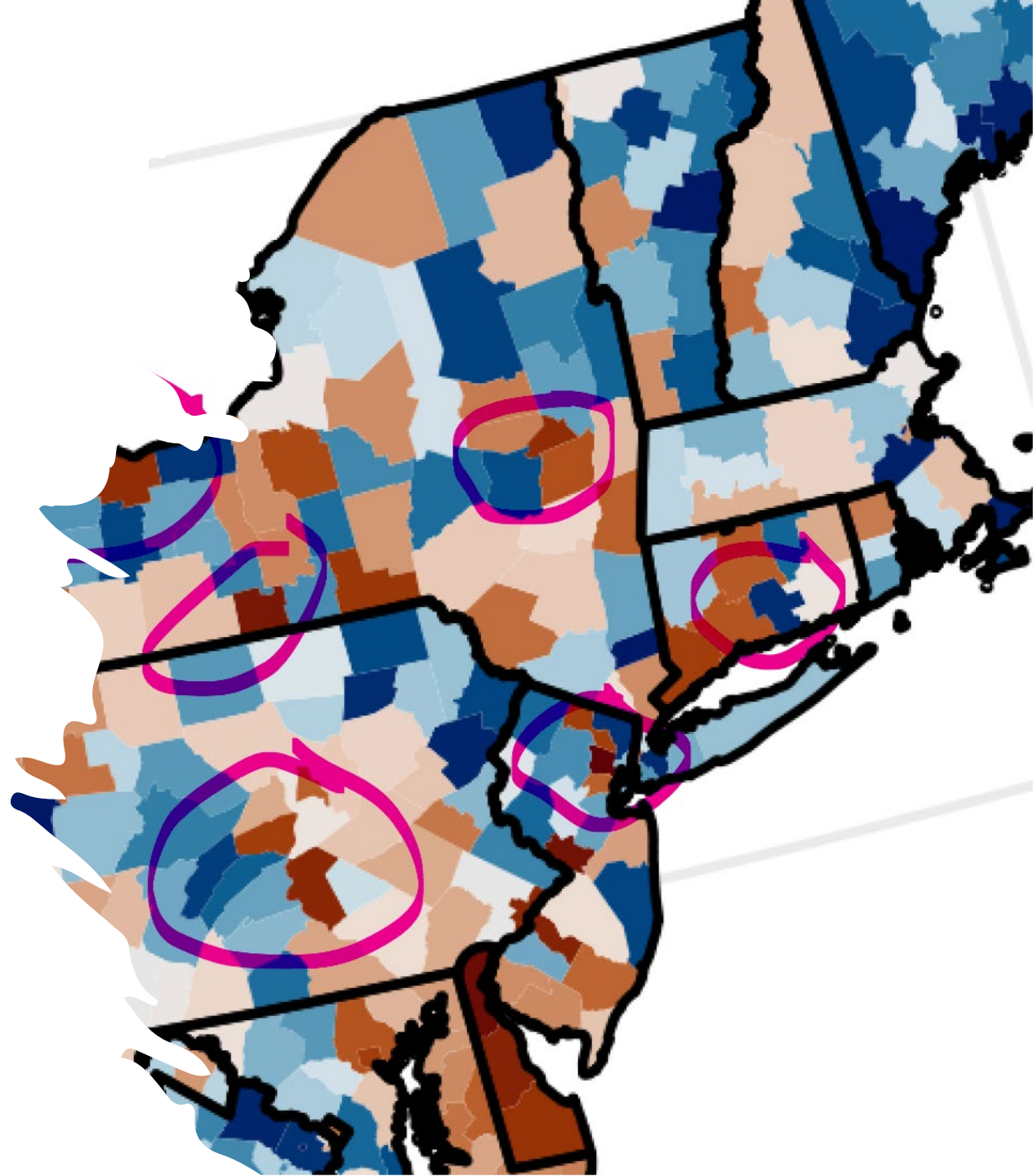
Negative House Price Shocks Lower Mobility (α)

- The result is the opposite for children of renters (δ)
 - Makes sense: House price declines for renting parents => higher disposable income
 - Renting parents are relatively similar to the poorest owners
- More negative price shocks increase wealth persistence (β)
- Mechanism:
 - Poor homeowner families: negative price shocks are *really* bad
 - Renting families: negative price shocks are good
 - “Normal” homeowners: negative price shocks aren’t that bad
 - Asymmetries are about portfolio concentration, leverage, and risk
- **Lesson for policy:** Stop encouraging homeownership for marginal owners

The Movers – Geography of Origin/Outcome

- Paper attributes children's outcomes to childhood location
- Are differences in outcomes driven by movers/stayers?
 - Nakamura, Sigurdsson, and Steinsson's "Gift of Moving" (2022)
- Scenario: A child born in Sawyer, WI
 - One child stays and buys a house: No capital gains
 - One child moves to Bay Area and buys a house: Huge capital gains
 - Both children's income and wealth are attributed to Sawyer, WI
 - Note: Also relevant to understand mobility in coastal cities
- Could: Control for fraction living in county/commuting zone; show patterns for movers or stayers; results by children's adult location
 - You have data from W2/filings etc?

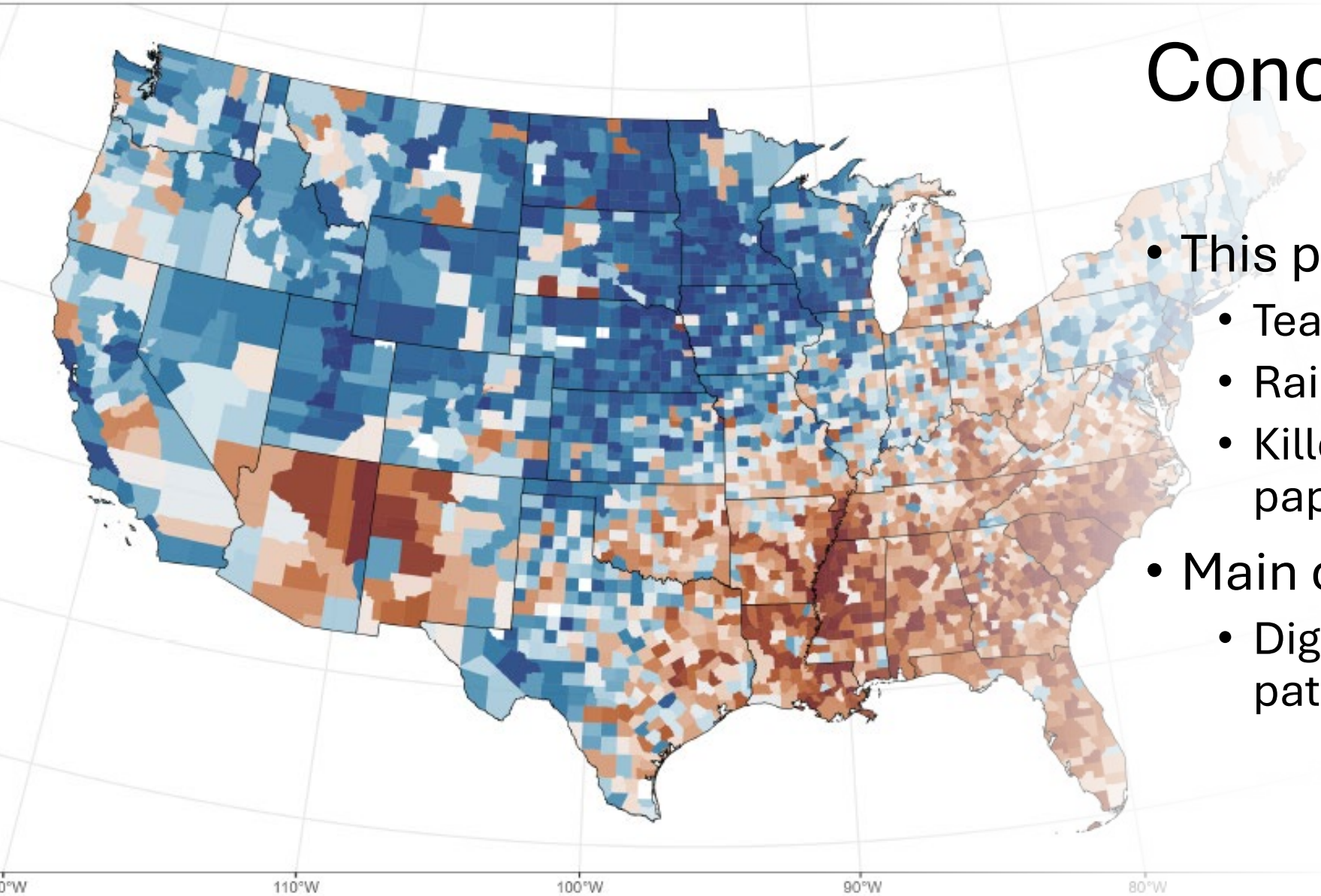
What drives the
differences
between counties?



More decomposition: What drives differences

- “While we increasingly understand where and why disadvantaged children grow up to be rich, we remain uninformed about where they grow up to be wealthy [in the US].”
 - The maps answer this question
 - Fine, but why not more?
 - A little unfair: Their complementary paper looks at some of this!
- Run county-level regressions to find explanations for the differences?
 - Kitchen-sink regressions: “Differences in mobility are explained by $x/y/z$ ”
 - Deals with problem: renting parents in NYC are very different from renters in rural TX
- *Why some areas have opportunity* is potentially a more important question

Conclusion



- This paper
 - Teaches you about the world
 - Raises questions
 - Killer combo with companion paper
- Main comment
 - Dig into what drives the patterns you find